

Comparative Financial Stability Vulnerability Assessment - November 2025

Euro Area & United States — Briefing Note for Bilateral Policy Meeting

1. Executive Summary

This note compares financial stability vulnerabilities in the **euro area (EA)** and the **United States (US)**, drawing exclusively on the ECB Financial Stability Review (May and November 2025 editions) and the Federal Reserve Financial Stability Report (November 2025). Both jurisdictions face an **elevated and broadly synchronized risk environment**, dominated by **trade policy uncertainty, stretched asset valuations, and rising non-bank financial intermediation (NBFI) leverage**. However, the nature and location of vulnerabilities differ materially.

The US exhibits more **acutely stretched asset valuations** — with equity price-to-earnings ratios near the upper end of their historical range and corporate bond spreads at exceptionally tight levels — alongside a notable build-up of **hedge fund and life insurer leverage**. The euro area, by contrast, confronts a more **macro-financially entangled risk set**: corporate vulnerabilities are elevated, especially in tariff-sensitive manufacturing, while sovereign debt sustainability concerns are resurfacing amid higher defence spending needs and rising interest costs. Cross-border transmission channels — through trade, capital flows, and the US dollar activities of European banks — could amplify a shock originating in either jurisdiction into a systemic event. Both reviews identify **policy uncertainty, geopolitical risks, and a sudden repricing of risk premia** as the most salient near-term triggers.

Overall risk rating: US — Elevated; Euro Area — Elevated, with a more complex and potentially more persistent vulnerability profile given the sovereign-corporate-bank nexus.

2. Comparative Vulnerability Assessment by Category

The table below summarises the vulnerability levels and key drivers across the four standard financial stability monitoring categories used by both the Federal Reserve and the ECB.

Vulnerability Category	US Assessment	US Key Drivers	EA Assessment	EA Key Drivers
(a) Asset Valuations	ELEVATED	• S&P 500 forward P/E ratio near the upper end of its historical range • Equity premium (vs. real 10Y Treasury) near a 20-year low • Corporate bond spreads historically tight: triple-B ~0.7 pp below median; high-yield ~1.6 pp below median • Excess bond premium below long-run average • CRE prices declining (nominal -5.6% y/y) • Nominal Treasury term premium near historical median	ELEVATED	• Stretched valuations with risk concentration in equity and credit markets • Non-bank liquidity fragilities could amplify repricing shocks • April 2025 sell-off demonstrated vulnerability to outsized reactions from policy announcements • Rotation of fund flows from US to EA equity funds, suggesting shifts in global capital allocation • Sovereign spreads widening in some member states
(b) Borrowing by Businesses & Households	MODERATE	• Total business & household debt/GDP stable at 20-year lows • Credit card & auto loan delinquencies above pre-pandemic levels • Leveraged loan spreads at the low end of post-2009 distribution • One-year-ahead default probability forecasts settled to low levels	ELEVATED	• Corporate vulnerabilities remain elevated as tariff effects take hold • Corporate debt service costs elevated; bankruptcies above pre-COVID levels • Manufacturing sector particularly exposed: declining order books, weaker Altman Z-scores • New loan

Vulnerability Category	US Assessment	US Key Drivers	EA Assessment	EA Key Drivers
				volumes 7% below 2022-25 average, 28% below 2019-25 average - Household resilience could weaken if layoffs affect debt servicing capacity 53% of firms cite finding customers as a major concern
(c) Leverage in the Financial Sector	ELEVATED	Hedge fund leverage steadily increased across Treasury, interest rate derivatives, and equity strategies - Life insurer leverage in the top quartile of historical distribution - Bank credit to financial entities (SPEs, CLOs, ABS) continuing to increase - Fair value losses on fixed-rate assets declined but still sizable and rate-sensitive - Bank capital levels well above regulatory requirements; broker-dealer leverage near historical lows	MODERATE-ELEVATED	- Euro area banks' resilience remains solid (robust capital and liquidity buffers) - Bank profitability supportive but facing headwinds from credit risk Investment fund leverage increasing (both financial and synthetic leverage, 2021-2024) Bank-NBFI funding linkages deepening across deposits, repos, and bond holdings - Credit risk exposures to tariff-sensitive firms concentrated in bank loan books

Vulnerability Category	US Assessment	US Key Drivers	EA Assessment	EA Key Drivers
(d) Funding Risks	MODERATE	• MMF assets growing, driven by government MMFs (least susceptible to redemptions) • Fragile investment vehicles / GDP near historical median • Bank reliance on uninsured deposits well below 2022/early-2023 peaks • Life insurer nontraditional liabilities growing but small share of general account • Treasury market liquidity recovered from April 2025 lows	MODERATE-ELEVATED	• Sovereign fragmentation risk: higher issuance and funding costs could strain weak sovereigns • Euro area banks' funding from non-banks growing (deposits, repos, bonds from NBFIs) • Rising interest costs and potential reassessment of sovereign risk by investors • Defence spending needs and fiscal slippage could trigger renewed spread widening • Market functioning held up well during April turmoil but atypical safe-haven shifts observed

Note: Vulnerability ratings follow the standard four-tier scale (Low / Moderate / Elevated / High). Assessments are based on indicators, thresholds, and narrative judgments presented in the underlying reports as of October–November 2025.

3. Common Risks and Notable Divergences

3.1 Most Salient Common Risks

1. **Trade policy uncertainty as the dominant macro-financial shock.** Both the ECB and Fed identify trade policy — specifically US tariff actions and the associated uncertainty — as the pre-eminent risk. The ECB FSR (November

2025) documents that US effective tariff rates have risen sharply and global trade policy uncertainty remains well above historical averages. The Fed's Survey of Salient Risks ranks "policy uncertainty" as the most frequently cited risk to US financial stability. The April 2025 tariff announcements triggered a sharp sell-off in risk assets across both jurisdictions, with magnitudes not seen since the early COVID-19 period, before markets partially recovered following a 90-day tariff pause.

2. **Stretched asset valuations vulnerable to sudden repricing.** In both jurisdictions, valuations across equity and credit markets leave limited buffers against adverse news. The US exhibits more extreme readings — forward P/E ratios near historical peaks, equity risk premia near 20-year lows, and corporate bond spreads substantially below medians — while the EA faces the compounding effect of high risk concentration and non-bank liquidity fragilities that could amplify a repricing event.
3. **NBFI leverage and liquidity mismatches.** Both reports flag rising leverage in parts of the non-bank financial sector. The Fed highlights hedge fund leverage increases across Treasury, rates, and equity strategies, as well as life insurer leverage in the top historical quartile. The ECB points to increasing financial and synthetic leverage among euro area investment funds and growing liquidity mismatches. In both jurisdictions, these vulnerabilities could transmit stress to the banking system via interconnected exposures and fire-sale dynamics.
4. **Geopolitical risks and geoeconomic fragmentation.** Both reviews identify geopolitical tensions — including the risk of broader geoeconomic fragmentation — as a key tail risk. The ECB FSR (May 2025) provides an extensive discussion of how the unpredictability of US policies across trade, regulatory, fiscal, and international cooperation domains raises the likelihood of "increasingly frequent and impactful adverse tail events."

3.2 Notable Divergences

1. **Sovereign debt sustainability: a distinctly European vulnerability.** The euro area faces sovereign debt sustainability challenges with no direct US parallel. The ECB highlights that higher issuance and funding costs could strain weak sovereigns, with fiscal slippage or external fiscal stress potentially leading to renewed sovereign fragmentation (Chart 3, ECB FSR November 2025). Increased defence spending needs — with the national escape clause activated for 11 EA countries — compound these pressures. Several euro area countries have government debt exceeding 100% of GDP with projected fiscal balances near or above the 3% Maastricht threshold. The US, by contrast, benefits from the dollar's reserve currency status and deep Treasury market, though the Fed report does not focus on fiscal sustainability as a near-term financial stability concern.
2. **Corporate vulnerability profile: sectoral concentration vs. household resilience.** The EA corporate sector displays more acute vulnerabilities

concentrated in tariff-sensitive manufacturing, with elevated bankruptcies, declining order books, and weaker Altman Z-scores. US business and household debt relative to GDP remains at 20-year lows, though pockets of stress exist in consumer credit (credit card and auto loan delinquencies above pre-pandemic levels). The EA's high openness to trade (well-integrated into global supply chains) makes its corporate sector disproportionately exposed to trade disruptions.

3. **US-specific leverage in hedge funds and life insurers.** The Fed report provides granular detail on rising leverage at hedge funds and life insurers that has no equally prominent counterpart in the ECB's assessment of the EA financial sector. The ECB's concern is more focused on investment fund leverage and the deepening interconnectedness between banks and non-banks.
4. **CRE market dynamics differ.** US commercial real estate prices are declining (nominal -5.6% y/y), reflecting persistent post-pandemic adjustment, while EA real estate markets were described in May 2025 as "recovering" though facing headwinds from elevated uncertainty.

4. Cross-Border Transmission Channels

Several channels could transmit and amplify a financial stability shock across the Atlantic:

1. **Trade and supply-chain contagion.** An escalation of US tariffs or retaliatory measures would directly hit the EA's open, export-oriented economy. The ECB FSR (November 2025, Chart 4) documents that tariff-sensitive sectors account for a significant share of EA employment, gross value added, and credit. A rolling recession dynamic — where shocks to manufacturing cascade into services and household consumption — is identified as a "hidden threat" (Box 1, ECB FSR November 2025).
2. **US Treasury market dysfunction → global spillovers.** The April 2025 episode demonstrated that US Treasury market liquidity strains can generate global repercussions. The atypical sell-off in US Treasuries during the April turmoil — partly attributed to the unwinding of basis trade positions and margin calls — raised questions about the safe-haven status of US assets. The ECB notes that "investors seem to reassess the riskiness of US assets, possibly leading to broader shifts in global capital flows," with "potentially far-reaching consequences for the global financial system" (ECB FSR May 2025).
3. **Capital flow reversals and euro area fund dynamics.** The rotation of fund flows from the US to the EA observed in early 2025 suggests that a reassessment of US risk could benefit EA markets in the short term, but an abrupt reversal — triggered, for instance, by renewed dollar strength or a flight-to-safety episode — could expose the EA non-bank sector to redemption pressures and forced asset sales.

4. **US dollar activities of European banks.** The ECB FSR (November 2025, Box 3) specifically examines the US dollar activities of European banks, highlighting business model dependencies and potential vulnerabilities. Dollar funding strains could emerge as a transmission mechanism, particularly if US money market conditions tighten or if European banks face difficulties rolling over dollar-denominated liabilities.
5. **Sovereign-bank nexus amplification.** Within the euro area, renewed sovereign fragmentation — triggered by fiscal concerns or a reassessment of sovereign credit risk — could damage bank balance sheets through sovereign bond holdings, raising funding costs and impairing lending. While this is primarily an intra-EA channel, it could be triggered by external shocks including US policy actions or global risk repricing.

5. Forward-Looking Assessment: Possible Triggering Shocks

Given the identified vulnerabilities, the following shocks could plausibly trigger a financial stability event over the next 6-12 months:

1. **Trade policy escalation.** A breakdown of trade negotiations, imposition of substantially higher tariffs, or a full-blown trade war remains the most immediate risk. Both the ECB and Fed identify this scenario as having the potential for "significant adverse impacts on global growth, inflation and asset prices" (ECB FSR May 2025). The ECB's analysis suggests that trade policy uncertainty is already affecting firm financing conditions in Europe.
2. **Sudden repricing of risk premia.** With US equity valuations stretched (P/E near upper end, equity premium near 20-year low) and corporate bond spreads historically tight, even a moderate reassessment of the macro outlook could trigger a sharp repricing. The Fed's Survey of Salient Risks identifies "a sharp decline in asset prices, potentially connected to a turn in the cycle" as a key concern. Given the interconnectedness of global markets, such a repricing would not be contained within the US.
3. **Geopolitical shock.** An intensification of geopolitical conflicts — whether related to defence, cyber threats (Box 1, ECB FSR May 2025), or broader geoeconomic fragmentation — could simultaneously hit growth, raise risk aversion, and disrupt commodity markets, with asymmetric effects on the energy-importing euro area.
4. **Sovereign stress in the euro area.** A reassessment of sovereign credit risk, potentially triggered by higher defence spending, fiscal slippage, or political uncertainty, could reignite the sovereign-bank nexus. The ECB notes that several high-debt EA countries face substantial near-term refinancing needs, making them sensitive to shifts in investor sentiment.

5. **Disorderly NBFI deleveraging.** Rising hedge fund leverage and investment fund liquidity mismatches create conditions for a fire-sale dynamic — where margin calls or redemption pressures force rapid asset sales, depressing prices, triggering further margin calls, and transmitting stress to banks via counterparty exposures. The April 2025 episode provided a preview of these dynamics.

6. Conclusion and Policy Recommendations

	Euro Area	United States
Overall Risk Rating	ELEVATED	ELEVATED
Key Vulnerability	Corporate distress (tariff-exposed manufacturing) + sovereign fragmentation risk + bank-NBFI linkages	Stretched asset valuations + hedge fund / life insurer leverage + CRE price adjustment
Resilience Factors	Solid bank capital & liquidity buffers; market functioning held up well in April; rotation of inflows toward EA	Household/business debt at 20-year lows; bank capital well above requirements; stable MMF sector

Policy Focus Recommendations

1. **For both jurisdictions:** Close monitoring of NBFI leverage and liquidity risk is essential. The April 2025 episode underscored how margin calls and redemption pressures can disrupt even the deepest markets. Regulatory efforts to address data gaps and enhance resilience in non-bank financial intermediation should be accelerated.
2. **For the euro area:** Macroprudential authorities should maintain or build releasable capital buffers (including the CCyB) given elevated corporate vulnerabilities and the risk of sovereign-bank feedback loops. The deepening ties between banks and non-banks warrant enhanced surveillance. Fiscal-financial stability coordination is critical: defence spending needs must be met without triggering sovereign stress that damages financial intermediation.
3. **For the United States:** Given stretched asset valuations and rising leverage in parts of the financial sector, supervisory attention to hedge fund exposures — particularly in Treasury markets — and life insurer leverage should remain high. The recovery of Treasury market liquidity from April lows is welcome but does not eliminate structural vulnerabilities in market intermediation.
4. **Cross-border coordination:** The interconnectedness of these risks — through trade, capital flows, and the global role of the US dollar — demands close transatlantic dialogue. Joint contingency planning for tail events involving US Treasury market dysfunction or sovereign stress in the euro area would enhance preparedness.

Prepared by: Financial Stability Analysis Division

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Sources: ECB Financial Stability Review (May 2025, November 2025); Federal Reserve Financial Stability Report (November 2025). All assessments and ratings are derived exclusively from these sources. Data cut-off: 18 November 2025 (ECB); 23 October 2025 (Fed).

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